Practice workbook · Total revenue: price times quantity

Total revenue from price and quantity sold, including rearranging for quantity and summing sales over several weeks first.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-06

1. Question 1 · part f · 2 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part f only.

1 (a) For which **one** of the following will demand increase when incomes decrease?

(1)

- ☒ **A** Capital good
- ☒ **B** Inferior good
- ☒ **C** Luxury good
- ☒ **D** Normal good

A firm's monthly total costs are $2 640 and monthly fixed costs are $900.

(b) Which **one** of the following equals $1 740?

(1)

- ☒ **A** Price
- ☒ **B** Profit
- ☒ **C** Average total costs
- ☒ **D** Total variable costs

(c) What is meant by the term division of labour?

(2)

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1. Question 1 · part f · 2 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part f only.

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(d) State **one** reason why a supply curve will shift to the left.

(1)

(e) Define the term competition.

(1)

A firm sells its products at a price of € 75 per unit and has a cost per unit of € 35.

(f) Calculate the **total revenue** for the firm when its monthly sales are 250 units.
You are advised to show your working.

(2)

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1. Question 1 · part f · 2 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part f only.

Figure 1 shows the market for mangoes.

(g) Using the diagram below, draw the likely effects on the market for mangoes after a study shows that eating them leads to an improvement in health. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

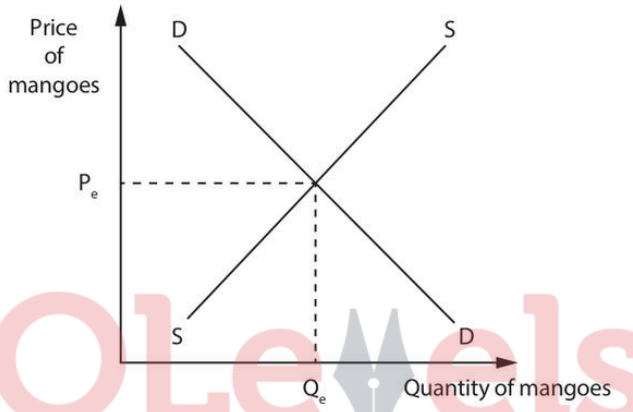


Figure 1

Christine runs a small cafe in New Zealand. She has many regular customers and has a reputation for serving large-sized meals, even though it means she makes less profit on each meal.

(h) Explain **one** possible reason why Christine serves large-sized meals.

(3)

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1. Question 1 · part f · 2 marks · Working and answer

Working and answer

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2. Question 3 · part c · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) Which **one** of the following may result in economic growth?

(1)

- ☒ **A** Increasing unemployment
- ☒ **B** Decreasing government spending
- ☒ **C** Decreasing productivity
- ☒ **D** Increasing technological advancements

(b) Which **one** of the following is an example of an economic want?

(1)

- ☒ **A** Food
- ☒ **B** Water
- ☒ **C** Shelter
- ☒ **D** Education

The total revenue of a printing firm is $75 000 per month when it sells 100,000 newspapers. The price of a newspaper increases to $0.85 and demand falls to 95,000 newspapers per month.

(c) Calculate the new total revenue. You are advised to show your working.

(2)

(d) Using your answer to 3 (c), state the price elasticity of demand for newspapers.

(1)

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2. Question 3 · part c · 2 marks · Working and answer

Working and answer

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3. Question 4 · part a · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part a only.

4 Veronique owns a shop that makes cakes for special occasions. The cakes sell for an average price of €40 each.

(a) Calculate the quantity of cakes sold by Veronique's shop when total revenue is €3 600. You are advised to show your working.

(2)

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3. Question 4 · part a · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part a only.

German broadband group urges the Vodafone-Liberty deal to be stopped

A business group representing German broadband providers asked regulators to stop the takeover by Vodafone of Liberty Global's German operations, saying the new firm would be too dominant. In 2018, Vodafone agreed to pay $21.8bn for Liberty Global. Arguments against the takeover included that it would delay the work on building a nationwide fibre-optic network and damage competition in the cable TV market.

(Source adapted from: https://uk.reuters.com/article/uk-liberty-global-m-a-vodafone/german-broadband-group-urges-eu-to-block-vodafone-liberty-deal-idUKKCN1NC0Z2)

(b) With reference to the data above and your knowledge of economics, analyse why governments may want to control takeovers.

(6)

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3. Question 4 · part a · 2 marks · Working and answer

Working and answer

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4. Question 4 · part a · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part a only.

4 Financial data for a firm selling a selection of products is shown in Figure 5.

Product	X	Y
Price	$1 500	$1 650
Quantity sold	25	20
Total revenue	$1 500 × 25	$1 650 × 20
PED	−0.39	−1.46

Figure 5

(a) Calculate the **total revenue** for the product that has a price elasticity of demand (PED) which is **elastic**. You are advised to show your working.

(2)

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4. Question 4 · part a · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part a only.

Tony Simpson is an artist whose income comes from selling his paintings to small craft shops. However, sales have recently fallen due to the closure of many of these types of shops. To avoid the risk of unemployment, he is considering training to become an art teacher by applying to a government scheme. This would provide an income while Tony is training to be a teacher.

(b) With reference to the data above and your knowledge of economics, analyse how an increased ability to move to different types of employment might affect the supply of labour.

(6)

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4. Question 4 · part a · 2 marks · Working and answer

Working and answer

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5. Question 1 · part b · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

1 (a) Which **one** of the following is defined as 'breaking down the production process into smaller tasks'?

(1)

- ☒ **A** Division of labour
- ☒ **B** Innovation
- ☒ **C** Labour intensive
- ☒ **D** Productivity

A firm sells 40 units of a good. Variable costs are $4 per unit. Customers pay $10 per unit.

(b) Which **one** of the following equals $400?

(1)

- ☒ **A** Price
- ☒ **B** Total costs
- ☒ **C** Profit
- ☒ **D** Total revenue

(c) What is meant by the term inferior good?

(2)

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5. Question 1 · part b · 1 mark · Working and answer

Working and answer

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6. Question 1 · part b · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part b only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

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6. Question 1 · part b · 1 mark · Working and answer

Working and answer

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7. Question 4 · part a · 2 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part a only.

4 Figure 6 shows financial data for a firm selling a selection of products.

Product	X	Y
Price	$3 000	$3 300
Quantity sold	50	40
Total revenue	$3 000 × 50	$3 300 × 40
PED	−0.62	−1.53

Figure 6

(a) Calculate the **total revenue** for the product that has a price elasticity of demand (PED) which is **inelastic**. You are advised to show your working.

(2)

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7. Question 4 · part a · 2 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part a only.

For a number of years there has been an increase in obesity in Poland. Consumers of sugary drinks, such as Coca Cola and Fanta, now have to pay an additional 0.50 zloty ($0.11) per litre, following the introduction of a sugar tax. At the same time, there has been an increase in adverts for soft drinks. However, consumers are still buying these drinks even though they are now more expensive.

(Source adapted from: https://retailmarketexperts.com/en/news/2021-retail-tax-and-sugar-tax-come-into-force/)

(b) With reference to the data above and your knowledge of economics, analyse the reasons why consumers may not maximise their benefit when consuming sugary drinks.

(6)

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7. Question 4 · part a · 2 marks · Working and answer

Working and answer

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8. Question 2 · part c · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

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2 Figure 3 shows a long-run average cost (LRAC) curve diagram.

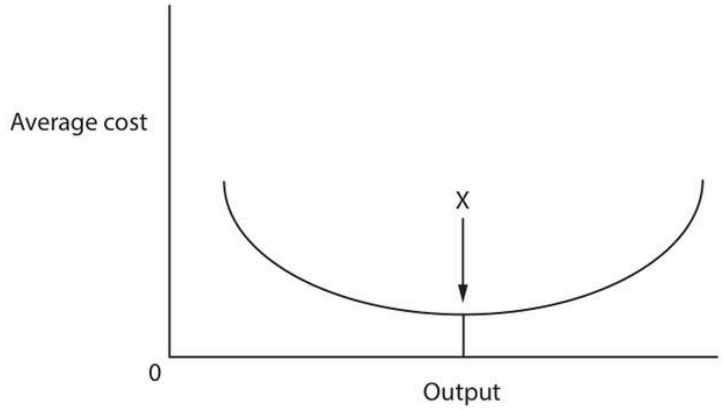


Figure 3

(a) Which **one** of the following is the correct label to replace 'X'?

(1)

- ☒ **A** Diseconomies of scale
- ☒ **B** External economies of scale
- ☒ **C** Most efficient
- ☒ **D** Profit

(b) Which **one** of the following is the most likely cause of economic growth?

(1)

- ☒ **A** An increase in taxation
- ☒ **B** An improvement in efficiency
- ☒ **C** Fewer advances in technology
- ☒ **D** An increase in unemployment

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8. Question 2 · part c · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

Figure 4 shows some of the financial information in August for a shop selling ice creams at a price of $3.50 each.

Week	Number of ice creams sold
1	227
2	133
3	179
4	301

Figure 4

(c) Calculate the **total revenue** for the shop in August. You are advised to show your working.

(2)

(d) What is meant by the term bureaucracy?

(2)

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P 7 8 9 5 6 A 0 8 2 4

8. Question 2 · part c · 2 marks · Working and answer

Working and answer

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